

mean they're shaky or insolvent. They're still part of NASDAQ."

"But where are the stocks actually traded?" I wondered. "Downstairs, or on another floor of the building, or where?"

"I'll show you," said Mr. Hobbing. He got up and ushered me out of his office. We walked a few steps and stopped at a narrow table. It was no longer than a regular kitchen countertop, and cluttered with newspapers, catalogs, and the usual office debris. In the middle of the debris was a computer terminal.

"This is it," said Mr. Hobbing, patting the terminal. "Heart of NASDAQ. Got any stocks you want to check, to see how they're trading?"

I told him the name of mine, plus the symbol, ATSI. He sat down at the terminal, typed in a few commands, and there on the screen appeared a list of firms you'd recognize: Merrill Lynch and Goldman, Sachs were offering to buy Angstrom at $1\frac{3}{8}$ or to sell it at $1\frac{1}{2}$, while three or four lesser-known firms were willing to buy at $1\frac{5}{16}$ and to sell at $1\frac{7}{16}$. This difference between the "bid" and the "ask" price was called the spread.

"Those are your market makers," said Mr. Hobbing. "Not many for your little stock. There'd be more for a big stock like MCI Communications." To prove it, he punched in the code letters for MCI, and two screens worth of buyers and sellers, about 30 of them, came up before our eyes.

"But where are the specialists?" I wondered. "Where are they standing?"

"There are no specialists," he said. "That's the beauty of it. Our market makers take the place of the specialists, and they're not standing anywhere. They're spread out all over the country. The computer network is the trading floor. You want to buy some MCI, you put in the order to your broker, and your broker sends it off to the order desk, and the order desk calls up the list of market makers on a terminal, just as we've done here. Buyers and sellers can screen down the list, pick out the best price, and make the deal right there with the keyboard."

"How do you decide which market maker to buy or sell from?"

"First, of course, you'd choose the one that's offering the best price. But if a lot of stock is being offered at the same price, there's a rotation system for who gets the business. There's no trading